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UNDERSIGHT RESEARCH

Unlocking Institutional Capital for Mid-Tier MCA Funds

A Technology-Enabled Transformation Thesis

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A Technology-Enabled Transformation Thesis

How undersight enables C/D-rated funds to achieve ABS-grade standards

For investors and bank CROs evaluating the MCA credit opportunity

This analysis builds on Edgar Matthews & Co., "The Institutional Migration of Merchant Cash Advance and Revenue-Based Finance," January 2026.

Executive Summary

MCA securitization has matured into a credible institutional asset class. Since 2021, approximately eight platforms have successfully executed rated securitizations, collectively securitizing over $1.1 billion in 2025 alone. These platforms include Enova (OnDeck), Kapitus, and BasePoint.

However, the vast majority of MCA funds remain structurally locked out of this capital. The barrier is not asset quality or borrower demand. The central limitation is the absence of institutional-grade structure across data, legal enforceability, servicing infrastructure, and portfolio governance.

This represents a significant market dislocation. Institutional capital seeks high-yield access within the $1.34 trillion US private credit market, yet most MCA originators cannot meet the operational standards required for warehouse facilities, let alone rated securitization.

The Transformation Opportunity

Technology can close this gap. Mid-tier funds that modernize their operational infrastructure along five institutional dimensions can transform from uninvestible to attractive. The Matthews framework identifies these dimensions as:

DIMENSION	WEIGHT	STANDARD
Data Integrity	25%	Immutable contracts, clean reconciliation, historical depth
Payment Stability	25%	Automated collections, explainable patterns
Servicing Continuity	20%	Documented processes, personnel resilience
Buyback Discipline	15%	Clear triggers, adequate funding
Stacking Controls	15%	Detection capability, performance differentiation

undersight is building the infrastructure that enables this transformation. By embedding autonomous underwriting and portfolio monitoring technology, undersight supports four of five dimensions directly.

Key Market Indicators

- $613M securitized across three 2025 deals (ONDK, Kapitus, BasePoint)
- 21+ total MCA securitizations since 2021
- Class A tranche pricing: T+125 to T+232
- ~8 unique sponsors have achieved institutional access

The question is not whether MCA assets are institutionally viable. The question is how to scale that viability beyond the handful of platforms that have self-funded the transformation.

What Disqualifies Mid-Tier Funds Today

The deficiencies are operational, not economic. Funds fail institutional standards not because assets underperform, but because infrastructure cannot withstand diligence. Key structural weaknesses:

Legal uncertainty: Many MCA structures rely on sale-of-receivables doctrine to avoid usury statutes, but courts increasingly apply "function-over-form" analysis. Platforms must be engineered to survive loan re-characterization rather than relying on sale doctrine as a sole line of defense.

Enforcement fragility: In MCA, collateral is operational enforcement. The ability to identify disruption, implement remedies, and restore remittance determines recovery more than contractual documentation. Funds without scalable enforcement infrastructure cannot support institutional leverage.

Informational opacity: Without granular disruption data, recovery timing, and re-engagement rates, rating agencies cannot differentiate between recoverable operational issues and terminal credit losses.

Stacking correlation: When multiple funders underwrite the same revenue stream without centralized coordination, competing daily pulls fragment cash flow across all exposures. Stacking converts portfolio granularity into hidden correlation, rendering institutional tranching mathematically unstable.

Market Potential: Latent Demand for High-Yield Access

The Yield Arbitrage

MCA assets offer exceptional risk-adjusted returns. Net yields after losses range from 18-25% for well-managed portfolios; institutional private credit targeting small business lending typically achieves 8-12%.

This spread reflects operational intensity and structural complexity, not market inefficiency. For institutional capital willing to deploy through qualifying platforms, the risk-adjusted opportunity is substantial.

Recent securitization pricing demonstrates appetite. Class A tranches in 2025 deals priced between T+125 and T+232:

- ONDK 2025-2 (AA rated): T+125, $261M
- BSPNT 2025-1 (A/A- rated): T+232, $102M
- KAPT 2025-1 (AA- rated): T+185, $250M

Why Banks Cannot Lend Directly to C/D Funds

Banks face a structural dilemma. High-yield MCA assets fit portfolio allocation mandates, but most originators cannot satisfy credit committee requirements:

- **Data insufficiency:** Banks require loan-level historical data, reconciliation trails, and static pool analytics. Most mid-tier funds cannot produce this consistently.
- **Servicing scalability:** Warehouse facilities require third-party servicer ratings or demonstrable operational resilience. Key-person dependencies disqualify platforms.
- **Legal uncertainty:** Function-over-form risk creates regulatory capital complications.
- **Stacking correlation:** Without cross-platform visibility, banks cannot assess true portfolio risk.

How undersight Enables the Transformation

Positioning: Infrastructure, Not Software

undersight does not just sell software to MCA funds. undersight creates the infrastructure that makes institutional capital deployment possible.

The positioning is narrow by design. undersight sits between the fund and the bank, addressing the specific structural deficiencies that prevent capital flow.

The Three-Layer Value Stack

undersight organizes capabilities into three progressive layers:

Layer 1: Automate

- Autonomous underwriting using agentic AI
- Replaces manual document processing, credit data aggregation, deal structuring
- Usage-based pricing scaling with deal volume
- ~$6B addressable market across small business underwriting

Layer 2: Monitor

- Continuous portfolio monitoring, payment pattern analysis, disruption detection
- Early warning systems, downside protection
- Progressing toward outcome-based pricing
- ~$0.5-1.5B addressable market

Layer 3: Unlock

- Audit-ready reporting, structured data exports, compliance frameworks
- Institutional observability, capital enablement
- ~$0.5-1.0B addressable market

The progression is deliberate. Funds adopt Layer 1 for efficiency. Layer 2 compounds value through performance gains. Layer 3 unlocks the transformation payoff: institutional capital access at materially better terms.

Mapping to Matthews Dimensions

DIMENSION	UNDERSIGHT LAYER	GAP CLOSED
Data Integrity (25%)	Layer 1: Automate	Complete. Immutable, structured origination data at deal inception
Payment Stability (25%)	Layer 2: Monitor	Substantial. Distinguishes business failure from cash-flow disruption
Servicing Continuity (20%)	Layer 1: Automate	Complete. Documented, system-driven workflows
Buyback Discipline (15%)	Layer 2: Monitor	Complete. Early default prediction, trigger monitoring
Stacking Controls (15%)	Layers 1 + 2	Substantial. Position detection plus ongoing monitoring

undersight addresses four of five dimensions directly and provides substantial support for the fifth (Payment Stability requires complementary operational improvements that technology alone cannot fully solve).

Why Agentic AI Matters

Traditional underwriting automation uses rules-based systems or ML models. undersight employs agentic AI with tool access operating within structured workflows. This architecture directly enables institutional readiness:

- **Immutability:** Agentic systems generate audit trails by design. Every decision includes reasoning, data sources, and confidence scoring.
- **Pattern recognition:** Diverse signals (processor changes, bank account updates, geographic patterns) enable accurate disruption classification.
- **Process codification:** The agent's reasoning becomes documentation, eliminating key-person dependencies.

What Needs to Align: The Three-Party Coordination Problem

Transformation requires alignment across the fund, the bank, and the infrastructure provider. The thesis succeeds only when all three coordinate.

Fund-Side Requirements

Profile: Small/mid-tier MCA fund ($25-250M annual originations) seeking competitive differentiation.

Leadership commitment: Buy-in for organizational transformation, not merely cost reduction.

Timeline: 12-24 month transformation horizon. Data integrity improvements begin immediately; servicing continuity matures over 6-12 months; institutional pitch-readiness emerges in year two.

Bank-Side Requirements

Sponsor: CRO or senior credit officer who defines "institutional-grade" for deployment criteria.

Engagement: Feedback during transformation, not pass/fail evaluation at the end.

The carrot: Defined capital deployment structure, whether warehouse facility, SPV participation, or direct ABS investment.

undersight Role

Not: A software vendor selling tools.

Instead: Infrastructure partner enabling transformation through deep operational integration. The infrastructure must become the operational foundation.

Conclusion

For Investors

undersight addresses a market dislocation at the intersection of operational infrastructure and institutional capital access.

The opportunity: MCA securitization is proven viable. However, the majority of funds remain locked out despite originating attractive yield assets. The first platform to enable transformation at scale captures capital concentration from both fund and bank sides.

Market size: $7-8.5B across three layers.

Traction: Founded October 2025, product launched November 2025, closed first customer at $100K ARR in December 2025.

For Banks

Mid-tier MCA funds are underserved, not uninvestible.

The framework: Matthews' five-dimension readiness index provides the evaluation rubric.

The infrastructure layer: Technology can close the operational gap. Funds that embed undersight infrastructure generate documentation, analytics, and process evidence that credit committees require.

Closing

The institutionalization of MCA will not be broad. But for the few platforms that execute correctly, the payoff will be transformational.

undersight is building the infrastructure that makes that execution possible.

Market Size

US MCA Market: $19-22B annual originations | 7-9% CAGR (2024-2032)

TIER	ORIGINATIONS	FUNDERS
Enterprise ($1B+)	$8-12B	5-10
Large ($250M-$1B)	$5-8B	10-20
Mid-Market ($50M-$250M)	$3-6B	30-50
Small ($10M-$50M)	$1.5-3B	50-100
Micro (<$10M)	$0.5-1B	100-150
Total	**$19-22B**	**200-300**

- 1,000-2,000 ISOs/brokers

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Ready to see undersight in action?

Schedule a 30-minute discovery call. We'll walk through your workflow and show you what's possible with agentic underwriting.

Book a Discovery Call

Or email us at contact@undersight.ai